

China AI Industry Quarterly Data Briefing

(Q2 2026)

Published: August 2026

Next Issue: Q3 2026 (expected October 2026)

What's Inside

Cooling GDP (4.3%) — but high-tech FDI up 33%

AI core industry surpasses RMB 1.2 trillion

H1 AI financing exceeds RMB 300 billion (more than all 2025)

Smart computing power at 2,185 EFLOPS

Three numbers that matter

High-tech FDI grew 33.2% in H1 2026, reaching a record 42.4% share of total FDI — foreign capital is voting for China's AI future.

AI core industry grew ~30% YoY to RMB 1.2 trillion, while overall industrial value-added grew only 4.6% in Q2 — the wedge is widening.

AI financing in H1 2026 surpassed RMB 300 billion, exceeding the full-year total of 2025 — capital concentration is intensifying.

What changed this quarter

FDI decline narrowed by 10.2 percentage points vs late 2025

High-tech investment remained positive (+4.6%) while total FAI contracted (-5.7%)

Comprehensive AI Law entered legislative work plan — regulatory clarity is coming

Part 1: Macro Environment

1.1 GDP Growth

China's real GDP grew by **4.3% year-over-year** in Q2 2026, down from 5.0% in Q1.

On a quarter-over-quarter basis, GDP grew by 0.9%.

Source: National Bureau of Statistics, Jul 15, 2026

1.2 Manufacturing PMI

Manufacturing PMI returned to expansion territory in June 2026, reaching **50.3%**, up 0.3 pp from May.

Key breakdown:

Production Index: **51.4%**

New Orders Index: **51.2%**

Large Enterprises PMI: **50.7%**

Medium Enterprises PMI: **50.5%**

Small Enterprises PMI: **48.2%**

High-Tech Manufacturing PMI: 53.5% — significantly outperforming the overall manufacturing sector

Source: National Bureau of Statistics, Jun 30, 2026

1.3 Industrial Value-Added

Industrial value-added growth slowed in Q2 but showed improvement by June. High-tech manufacturing grew **14.1% YoY** in June, while overall manufacturing grew only 4.8% in Q2 — the gap is widening.

Source: National Bureau of Statistics, Jul 15, 2026

1.4 Retail Sales

Retail sales returned to positive growth in June (+1.0%) after a contraction in May (-0.6%). H1 2026 retail sales reached RMB 24.872 trillion.

Source: National Bureau of Statistics, Jul 15, 2026

1.5 Fixed Asset Investment

Total fixed asset investment contracted 5.7% in H1 2026, with private investment down 8.5% and real estate down 18.0%. **However, high-tech industry**

investment grew 4.6% — a clear divergence between traditional and new economy sectors.

Source: National Bureau of Statistics

1.6 Foreign Direct Investment (FDI)

FDI showed clear signs of stabilization in H1 2026. Actual FDI used reached RMB 402.14 billion, with the decline narrowing by 10.2 percentage points. New foreign-funded enterprises grew 5.3% YoY.

The headline number: High-tech FDI grew 33.2% YoY, reaching a record 42.4% share of total FDI. Nearly 4,800 foreign enterprises increased their investments in China during H1 2026.

Source: Ministry of Commerce, Jul 23, 2026

Part 2: AI Industry Core Data

2.1 Industry Scale

China's AI core industry scale has surpassed **RMB 1.2 trillion** (approximately USD 165 billion), with year-over-year growth of approximately **30%**.

AI-related industry scale: > RMB 1 trillion

Number of AI enterprises: > 6,200

Smart computing power: 2,185 EFLOPS

Key industry AI penetration: > 80%

Regulated manufacturing AI penetration: > 30%

Source: MIIT, World AI Conference 2026

2.2 Major AI Models

Chinese foundation models have achieved global competitiveness:

DeepSeek, Tongyi Qianwen, Doubao — key indicators rank among global leaders

Domestic AI chips: progressed from "usable" to "high-performance"

Multiple domestic 10,000-card clusters established

2.3 AI Investment (H1 2026)

Total AI financing in H1 2026 exceeded RMB 300 billion, surpassing the full-year total of 2025.

Notable Q2 2026 financing cases:

Zhixiang Future: 3 rounds totaling > RMB 2.1 billion within 3 months

Qujing Technology: Cumulative > RMB 1 billion within 6 months

Westlake Xincheng: Series B+ of several hundred million RMB

Source: Public financing reports